

2010 SCC OnLine All 2611 : (2010) 6 All LJ 446

In the High Court of Allahabad
(BEFORE SUNIL AMBWANI AND KASHI NATH PANDEY, JJ.)

Executive Engineer, Electricity Urban Distribution
Division IIInd

Versus

Electricity Ombudsman, Lucknow & Ors.

Civil Misc. Writ Petition No. 47592 of 2010

Decided on August 23, 2010



Page: 447

JUDGMENT

1. We have heard Ms. Usha Kiran for the petitioner — Executive Engineer, Electricity Urban Distribution-II, Saharanpur. Sri P.K. Tyagi appears for respondent No. 3 — Sri Shivpal Singh Yadav.

2. The petitioner is aggrieved by orders passed by the Consumer Grievance Redressal Forum, Saharanpur dated 14.12.2009 in complaint case No. 7 of 2009 (*Shiv Pal Singh Yadav v. Executive Engineer, Electricity Urban Distribution Division-II, Saharanpur*) and the order of the Electricity Ombudsman dated 16.4.2010 in Reference No. 21 of 2010 (*Executive Engineer, Electricity Urban Distribution Division-II, Saharanpur v. Shiv Pal Singh Yadav*), whereby the Ombudsman has rejected the reference and has upheld the directions given by the Consumer Grievance Redressal Forum, Saharanpur (CGRF). He has further given directions to the petitioner to instal meter and connect it from urban feeder for supply of electricity to respondent Sri Shiv Pal Singh Yadav within 15 days and thereafter billing of the connection shall be made under rate schedule L.M.V. — 5.3(B) in accordance with urban feeder. The facts giving rise to the present are that an application was made by respondent No. 3 Sri Shiv Pal Singh Yadav for sanction of electricity connection to his tube well. The Executive Engineer, Electricity Urban Distribution Division-II, Saharanpur by his letter No. 413/86572 dated 18.7.2007 sanctioned line order No. 01025, for the connection. The



respondent No. 3 Sri Shiv Pal Singh Yadav had deposited the requisite amount of Rs. 48,575/- for electricity connection for the tube well, vide receipt No. 8/164104 dated 18.9.2007. The department did not draw electricity line and instal meter for the reason, that electricity supply to the tube well of the respondent was to be made from Kailashpur Electricity Sub-Centre, which was under the Electricity Distribution Division-II, Saharanpur; after the re-demarcation of the area, the tube well of the petitioner has now fallen under the 66 KV Sub Station, Janakpuri, which falls under the Electricity Urban Distribution Division-II, Saharanpur, vide letter No. 4187 dated of the Executive Engineer, Electricity Urban Distribution Division-II, Saharanpur.

3. The department gave a fresh estimate to respondent-Sri Shiv Pal Singh Yadav from a different line, Gunna Sub Station, which falls under the Electricity Distribution Division-I, Saharanpur, at a distance of 900 mtr from the tube well, as against the distance of 750 mtr of electricity line of urban feeder.

4. Sri Shiv Pal Singh Yadav filed a complaint in Consumer Grievance Redressal Forum, Saharanpur with prayers to energise his connection, on the estimate prepared by the Electricity Department, and sanctioned on 18.7.2009 and to compensate him with the losses of Rs. one lac for loss of the agriculture production. Apart from claiming a right for electricity supply in accordance with the amount deposited by him on 18.9.2007 and sanctioned on 18.7.2009, he submitted that the alternative line suggested by the department to draw electricity line from rural feeder of Gunna Sub Station under Electricity Distribution Division-I, Saharanpur, will have to pass through several agricultural fields of the neighbouring farmers; they will not allow the department to instal electricity polls or passing of high-tension electricity line through their agricultural fields, giving rise to disputes.

5. The members of CGRF, Saharanpur considered the complaint and the reply given by the department. They found that complainant had deposited the estimate amount in September 2009, and according to the rules the electricity line should have been drawn and connection/meter installed within 90 days of the deposit. The department neglected in installing the connection, on account of which the complainant has suffered losses in agriculture production. The CGRF, Saharanpur issued directions to provide electricity connection to the complainant's tube well on the old estimate, from the same feeder and to instal meter within 90 days for which the complainant will pay the bill according to the meter. The Executive Engineer, Electricity

Urban Distribution Division-II, Saharanpur filed an appeal-petition against the order of CGRF, to the Ombudsman, under Section 8(1) of the UPERC (Consumer Grievance Redressal Forum & Electricity Ombudsman) Regulations, 2007.

6. Sri R.D. Pal, the Electricity Ombudsman considered the grounds of appeal filed by the petitioner-Executive Engineer, Electricity Urban Distribution Division-II, Saharanpur, and found that once the appellant has accepted that several electricity connections in village Chak Hareti are fed from the urban feeder and that since old connections, were regularised, and in the case of the complainant, the sanction was given on 18.9.2009; if the lines were drawn and connection was given within 90 days, the department could not have had any objection to connect with urban feeder. The complainant has already lost his crops for several years on account of negligence of the department. The Ombudsman found that the scheme for electricity connection was prepared every year. The complainant had completed all the formalities on 18.9.2007 and thus he was entitled to be given connection by 31.3.2008. There is no restriction on giving electricity connection to a private tube well from the urban feeder in the Electricity Supply Code, and thus the ground taken by appellant that the connection through urban feeder will be violative of the provisions of Act/Code, is not correct. He further found that if the private tube well are given connection from the urban feeder, the bills can be raised under para 5.3 (b) of rate schedule, and that if the rates of the material for making electricity supply have increased, the department cannot demand excess amount beyond the accepted estimate.



7. Ms. Usha Kiran, submits that Ombudsman has not applied his judicial mind in directing the electricity supply to be given on the basis of old estimate. The complainant respondent was not entitled to get electricity connection for private tube well on the basis of old estimate. The area having fallen subsequently in the urban area, the electricity connection could only be given from the rural area feeder line, for which fresh estimate was required to be prepared and additional costs were to be deposited by the complainant. The Ombudsman could not have compelled the department to supply electricity to a private tube well from urban feeder when an alternative line was given to the complainant.

8. Sri P.K. Tyagi, appearing for respondent No. 3 submits that CGRF

and thereafter Ombudsman have not committed any error of law in issuing directions to supply electricity connection to respondent No. 3 on old estimate from urban area. The change of area did not affect the sanction given to the electricity connection for the private tube-well of the complainant. He had deposited the entire amount estimated by the Executive Engineer on 18.9.2008.

9. Para 4.6(a) of the U.P. Electricity Supply Code 2005 provides that after sanction of load, an estimate shall be prepared, which shall remain valid for three months from the date of sanction letter to the applicant. Proviso 4.6(g) of the Code provides that in case of revision of charges, if the estimates were sanctioned prior to the date of revision, the estimates in excess shall not be charged on completion of works on the basis of revised charge. Para 4.6 and para 4.6(g) provides as follows:

4.6. Estimate

(a) After sanction of loan, an estimate shall be prepared, which shall remain valid for three months from the date of sanction letter to the applicant.

... ..

(g) A final bill shall be prepared after completion of the work by the Licensee.

If the final bill exceeds the value of the estimate, the difference shall be deposited by the applicant before connection is energized.

If it were less, the difference shall be adjusted in subsequent electricity bills or refunded by cheque within 60 days.

Provided further that, in case of revision of charges, if the estimates were sanctioned prior to the date of revision, the estimates in excess shall not be charged on completion of works on the basis of revised charge. However, if the work is completed at an estimate less than that prepared in revised charges, the excess amount deposited by the applicant on the basis of unrevised charges, shall be refunded within 60 days.

10. Counsel for the petitioner has not placed on record any restriction for supply of electricity to a private tube well from urban feeder. The Executive Engineer was required to draw the lines, install meter, and energize connection within 90 days of the deposit of estimate by the applicant. The delay and consequential change of area could not have authorized him to change the feeder and to draw a fresh estimate.

11. The Ombudsman had rightly found that general scheme is prepared for each financial year. The complainant had deposited the estimated amount on 18.9.2007 and thus there was no justification to delay the installation beyond 31.3.2008. He has also found that if

supply is given from urban feeder, the complainant can be billed in accordance with 5.3(b) of the rate schedule.

12. In *Purvanchal Vidyut Vitran Nigam Ltd. v. Vidyut Lokpal (Electricity) Ombudsman* [2008 (5) ALJ 683] : (AIR 2008 All 127) one of us (Hon'ble Sunil Ambwani, J) had an occasion to consider the object and purpose of appointment of Electricity Ombudsman for solving the disputes and scope of interference with the orders passed by the Ombudsman. It was held as follows:—

“9. Learned counsel appearing for the respondent-industry submits that the scope of interference with the award of ‘Electricity Ombudsman’ is very limited. The ‘Electricity Ombudsman’ promotes a settlement of the representation/complaint through conciliation or mediation and is not bound by rules of evidence or procedure. In the cases, where the settlement through mediation could not be



Page: 450

arrived, he may give an award in accordance with the Electricity Act, 2003. A combined reading of Clause 9(a) of the Regulations of 2004 and Clause 12.1 of the Regulations of 2007 provides for an award, which is similar to the award given by an Arbitrator and which may be challenged on limited grounds, given under Section 34 of the Arbitration and Conciliation Act, 1996. In the case of settlement by conciliation and mediation, it is not open to the parties to challenge the settlement, as a settlement is a compromise entered into between the parties voluntarily and, which cannot be challenged by the parties except for want of jurisdiction of the authority making the settlement or fraud. In the case of an award, as in the present case the High Court may interfere, when the parties were under some incapacity, the parties making an application were not given proper notice; the award deals with disputes, which are not contemplated or, the matters are excepted to be decided by the forum or Ombudsman and where the subject matter is not capable of settlement by arbitration under the law, or the award is in conflict with public policy. He submits that in the present case no such grounds, which are available for setting aside of the award (on the ground of ‘misconduct’) are available. The petitioners in their reply to the Electricity Ombudsman did not take up any ground that it was not technically feasible or that sufficient load is not available for tapping. The petitioner did not have any objection if independent feeder is provided, but that was not feasible until no objection certificate was given by railways and the lines were laid out. There was a railway track and agriculture land on which the independent feeder has to pass for supply of electricity.

10. The 'Electricity Ombudsman' has considered the objections of the petitioner. He has also found that the application of the petitioner of the consumer for independent feeder and the increase of load factor of 122 KVA Sub-Centre is in process. He found that under Clauses 4.2, 4.4 and 4.6 of the Electricity Distribution Code, 2005 several steps have been taken for simplifying the procedure for electricity connection. The Electricity Supply Code, 2005 is applicable from 18.2.2005, and that M/s. Nitin Ispat and M/s. Laxmi Katsin Ltd. were also allowed tapping from this very feeder on 5.3.2005, and on the orders of the High Court respectively. Taking into account all the factors and that the consumer was model consumer the Electricity Ombudsman has found that release of connection for the time being from 33 KVA Feeder is proper with certain safeguards regarding energy audit and for theft of energy.

11. Clause 3.4(d) of the U.P. Electricity Distribution Code, 2005 provides for exceptions to Clause 3.4(a) and these exceptions include the conditions, where construction of separate feeder is not possible on account of non-availability of corridor, right of way and bay at the respective sub-station. The words "the tapping of the independent feeder shall be permitted by licensee to other connection having a similar process" would include the consumers of Arc, Induction furnaces/Rolling Mills, Re-rolling Mills and Mini Steel plants of 1000 KVA and above and includes the connection to be given to the petitioner.

12. The 'Ombudsman' is defined in *Webster's New Collegiate Dictionary*; (1) a Government Official (as in Sweden or New Zealand) appointed to receive and investigate complaints made by individuals against abuses or capricious acts of public officials; (2) one that investigates reported complaints (as from students or consumers), reports findings, and helps to achieve equitable settlements. The *Blacks Law Dictionary* defines 'Ombudsman' as; "(A)n official appointed to receive, investigate, and report on private citizen's complaints about the Government. A similar appointee is a non-governmental organization (such as a company or university).

13. In *Durga Hotel Complex v. RBI*, (2007) 5 SCC 120 : (AIR 2007 SC 1467) while discussing the powers of Ombudsman appointed by the Reserve Bank of India under the Banking Ombudsman Scheme, 1995 the Supreme Court observed in para 15 that conceptually an Ombudsman is only a non-adversarial adjudicator of disputes. He serves as an alternate to the adversary system for resolving disputes, specially between citizens and Government agencies. He as an independent and non-partisan



officer, deals with specific complaints from the public against the administrative injustice and maladministration (See 4 American Jurisprudence 2d). By its very nature an Ombudsman is an alternative to an adversary system for resolution of disputes and it is logical to postulate from Clause 16 of the scheme that the Ombudsman, who had entertained the complaint before the matter was taken to DRT, will lose his jurisdiction over the subject matter of the complaint. The Banking Ombudsman has no authority to compel the bank to make further advances, which as a prudent banker, it might not find feasible, nor can the Banking Ombudsman interfere with the agreement regarding the repayment schedule fixed by the bank or the financing ratio that may be maintained between the bank and the borrower. Nor can he direct the increase of the period of moratorium or fix a schedule of repayment of loan. These observations were made on the interpretation of powers of the banking Ombudsman under Clause 13 of the Banking Ombudsman Scheme, 1995, which provides for specific ambit of authority of Banking Ombudsman with regard to, (b) complaints consisting loans and advances only in so far as they relate to; (i) non-observance of Reserve Bank directions on interest rates (ii) delays in sanction/non-observance of period, time schedule for disposal of loan application and (iii) non-observance of any other directions or instructions of Reserve Bank, as may be specified for the purpose, from time to time. The Supreme Court upheld the order of the High Court by which it had found that Banking Ombudsman had exceeded his jurisdiction in passing the award. The directions to advance the balance amount and to make available additional finance on the basis of recommendations of the committee, directions to maintain financing ratio of 75:25 and fixing repayment schedule of 7 years exclusive of one year moratorium, were found by the High Court to be beyond the jurisdiction in making the award. The Supreme Court affirmed the order of the High Court and justified its interference with the award of Banking Ombudsman.

14. The Electricity Act, 2003 refers to the duties of distribution licensees and open access in part VI 'Distribution of Electricity'. In Section 42, which provides for duties of the distribution licensees to develop and maintain an efficient coordinated and economical distribution system in his area of supply and to supply electricity in accordance with the provisions contained in the Act. Sub-section (2) provides for the State Commission, which means the State Electricity Regulatory Commission constituted under sub-section (1) of Section 82 and includes a joint commission constituted under sub-section

(1) of Section 83 (Section 2(64) of the Act). Sub-section (5) of Section 42 of the Act provides for establishment of a forum for redressal of grievances of the consumers, in accordance with the guidelines as may be specified by the State Commission. Sub-sections (6), (7) and (8) relevant for this case provides:—

“(6) Any consumer, who is aggrieved by non-redressal of his grievances under sub-section (5), may make a representation for the redressal of his grievance to an authority to be known as Ombudsman to be appointed or designated by the State Commission.

(7) The Ombudsman shall settle the grievance of the consumer within such time and in such manner as may be specified by the State Commission.

(8) The provisions of sub-sections (5), (6) and (7) shall be without prejudice to right which the consumer may have apart from the rights conferred upon him by those sub-sections”.

15. In Uttar Pradesh the Electricity Ombudsman is appointed by the U.P. Electricity Regulatory Commission under. Regulation 3.3.1 of the U.P. Electricity Ombudsman (Terms and Conditions of Service) Regulations, 2004 notified in U.P. Extraordinary Gazette dated April 20th, 2004. Clause 6 provides:—

“The Electricity Ombudsman shall be an Engineering Graduate preferably with knowledge of law with a minimum of 20 years experience in a public/private Electricity utility of which ten years should be in distribution. Exposure to regulator affairs will be preferred. In exceptional cases the Commissioner/Selection Committee reserved the right to relax the experience criteria”.



16. The Regulation, 2004 provide for the powers and duties of the Electricity Ombudsman as follows:—

“9. The Electricity Ombudsman shall have the following powers and duties:—

(a) To receive the appeal petitions against the order of the Consumer Grievance Re-dressal Forum and consider such complaints and facilitate their satisfaction settlement by agreement, through conciliation and mediation between a licensee and aggrieved parties or by passing an award in accordance with the Electricity Act provisions of U.P.

Electricity Reforms Act, 1999 not in consistent with Electricity Act, 2003 and Rules or Regulations made thereunder particularly UPERC (Consumer Grievance Redressal Forum and Electricity Ombudsman) Regulations, 2003 Electricity Supply Code.

- (b) The Electricity Ombudsman shall exercise general powers of superintendence over his office and the office of Consumer Grievance Redressal Forum constituted by the Licensees under UPERC (Consumer Grievance Redressal Forum Electricity Ombudsman) Regulations, 2003 and shall be responsible for the conduct business thereat.
- (c) The Electricity Ombudsman shall specify the procedure to be adopted issue of notices, calling attendance, examination on oath, receipt of evidence requisitioning of records.
- (d) The Electricity Ombudsman shall specify the form and manner in which representation is to be submitted before him.
- (e) The Electricity Ombudsman shall have the powers to incur expenditure on behalf of the office. In order to exercise such powers. The Electricity Ombudsman will draw up an annual budget for his office in consultation with the Commissioner and shall exercise the powers of expenditure within the approved budget. The annual accounts of the office of the Ombudsman shall be maintained in such manner & formats as specified by the Commission.
- (f) Any other matter referred by the Commission.

10.10.1 The Electricity Ombudsman shall have the power to summon and enforce the attendance of any person acquainted with the facts and circumstances of the case to give evidence or produce any document, which may be useful for or relevant to the subject matter of the complaint before the Ombudsman.

10.2 For the purpose of carrying out his duties, an Electricity Ombudsman may require the licensee named in the complaint to furnish certified copies of any document relating to the subject matter of the complaint, which is or is alleged to be in its possession, within 15 days: Provided that in the event of failure of a licensee to comply the requisition without any sufficient cause, made under this clause. The Electricity Ombudsman may, if he deems fit, draw the inference that the information, if provided or copies if furnished, would be unfavourable to the licensee and proceed to settle the case on that basis.

10.3 The Electricity Ombudsman shall maintain confidentiality of any information or document coming into his knowledge or

possession in the course of discharging his duties and shall not disclose such information or document to any person except with the consent of the person furnishing such information or document.

Provided that nothing in this clause shall prevent the Electricity Ombudsmen from disclosing information or document furnished by a party in a complaint to other party or parties, to the extent considered by him to be reasonably required to comply with the principles of natural justice and fair play in the proceedings”.

17. The U.P. Electricity Regulatory Commission has in exercise of its powers conferred on it under Section 181 read with sub-sections (5) to (8) of Section 42 of the Electricity Act, 2003 made UPERC (Consumer Grievance Redressal Forum and Electricity Ombudsman) Regulation, 2007, notified in Extraordinary Gazette of U.P. on 4th October, 2007. These regulations provide in Regulation 3.1 for constitution of Consumer Grievance Redressal Forum with a judicial member as Chairperson, a technical member and an officer of the licensee at (1) Agra Discom including Kanpur, Agra, Jhansi and Chitrakoot; (2) Meerut Discom for Meerut, Moradabad



and Saharanpur; (3) Lucknow Discom for Lucknow, Bareilly, Faizabad and Devipatan (Gonda); (4) Varanasi Discom for Varanasi, Allahabad, Gorakhpur, Azamgarh, Mirzapur and Basti; (5) KESCO for Kanpur and NPCL for Greater Noida. The forums are authorised under Regulation 3.4 to entertain complaints of the consumers/complainants, who are supplied electricity by the concerned Distribution Licensee within the area of respective Commissioner's Division and in case of *KESCO and NPCL* such area shall mean the area of licensee to dispose of the matters under Regulation 3.5(2) to consider (a) all complaints to be filed before the forum; (b) the existing forums shall cease to receive complaints were continued to function for one month from the date of establishment of the forums under the regulations.

18. Regulation 5.0 provides for jurisdiction of these forums with exceptions under Regulation 5.1 regarding the matters mentioned in Sections 126, 127, 128, 135, 139, 143, 152 and 161 of the Electricity Act, 2003. The forums can take up complaints on an application or suo moto, if it considers appropriate in the interest of justice, except those under Regulation 5.1. Regulation 5.3 prohibits forum to entertain a complaint if it pertains to the same subject matter for which any proceedings before any Court, authority or any

other forum is pending, or a decree, award or final order has already been passed by any competent court, authority or forum. Regulation 6 provides for the procedure before the forum with restrictions on interim reliefs under Regulation 6.10. The decision of the forum under Regulation 7.2 are to be in writing supported by reasons and by majority of votes.

19. The Regulations of 2007 provides in Regulation 8.1(i) a right to any consumer aggrieved by the order made by the forum, or where forum has failed to redress the grievance within the specified period or distribution licensee is aggrieved by the order of the forum, a representation to the “Electricity Ombudsman”. Clause (ii) provides for such representation by consumer or his authorised representative or by distribution licensee within 30 days of the order. Such representation cannot be made under Regulation 8.2, unless the consumer has made a written representation to the forum and the forum has either rejected the representation or has failed to dispose it of within the specified time (Regulation 6.9 provides for expeditious hearing of the complaint by the forum to be decided by speaking order at the earliest preferably within three months from the date of receipt of the complaint and in the event the complaint is not disposed of within the period the forum shall record reasons in writing for the same. It further provides that in such case the complainant may also approach the Ombudsman.

20. Regulation 8.2 further provides in Clause (c) that a representation shall not lie, where the matter is already settled by the Electricity Ombudsman or by any Court, Tribunal or any other competent authority and in Clause (d) the representation, which is pending in any Court, Tribunal, Arbitrator or any other competent authority. The Electricity Ombudsman is authorised to entertain the representation even after the expiry of the specified period, if it is satisfied under Regulation 8.3 that there was sufficient cause for not filing the same within that period: A consumer is required to deposit 33% of the amount, if the complaint relates to dispute with regard to the payment. The powers, duties and the proceedings before the Electricity Ombudsman are given under Regulations 10 to 12 of the Regulations, 2007:—

“10.0 Powers of the Ombudsman:

10.1(i) The Electricity Ombudsman shall be the Chief Executive of his office.

(ii) The Electricity Ombudsman may issue such directions as may be considered necessary for discharge of functions by the Forum under these Regulations.

10.2(i) The Electricity Ombudsman shall have the powers to incur expenditure on behalf of the office. In order to exercise

such power, the Electricity Ombudsman will draw up an annual budget for his office and shall exercise the powers of expenditure within the budget approved by the Commissioner. The annual accounts of the Office of the Ombudsman shall be maintained in such manner and format as may be specified by the Commission.



Page: 454

(ii) The Accounts of the Ombudsman shall be audited by the Comptroller and Auditor General of India at the time, the Accounts of the Commissioner is audited.

10.3 Subject to the provisions of these Regulations, the Electricity Ombudsman shall specify the procedure to be adopted for issue of notices, calling attendance, examination on oath, receipt of evidence and requisitioning of records and may also specify the form and manner in which a representation is to be submitted before him.

10.4 The Electricity Ombudsman shall maintain confidentiality of any information or document coming into his knowledge or possession in the course of discharging his duties and shall not disclose such information or document to any person except with the consent of the person furnishing such information or document:

Provided that nothing in this clause shall prevent the Electricity Ombudsman from disclosing information or document furnished by a party in a complaint to other party or parties, to the extent considered by him to be reasonably required to comply with the principles of natural justice and fair play in the proceedings.

11.0 Duties of the Ombudsman:

(i) The Electricity Ombudsman shall—

- (a) settle the grievance of the consumer who is aggrieved by non-redressal of his grievances by Consumer Grievance Redressal Forum on a representation made by such consumer within thirty days of the receipt thereof:

Provided that an Electricity Ombudsman shall not hear any matter, which pertains to matters mentioned in Regulation 5.1.

- (b) receive representations against the order of the

Consumer Grievance Redressal Forum and consider such complaints and facilitate to his satisfaction or settlement by agreement, through conciliation and mediation between a licensee and the aggrieved parties or by passing an award after hearing the parties in accordance with the Electricity Act, 2003, provisions of UP Electricity Re forms Act, 1999 not being inconsistent with Electricity Act, 2003, Rules or Regulations made there under particularly tariff orders, and Electricity Supply Code.

- (c) settle the grievance of the consumer ordinarily within three months.
- (d) deal with any other matter referred by the Commission.
- (ii) The Electricity Ombudsman may, after hearing the Forum or other interested parties, if any, from time to time, issue such orders, instructions or direction to any forum for the performance of its function under these Regulation as may be deemed fit.

12.0 Proceedings before the Electricity Ombudsman:

12.1 The Electricity Ombudsman—

- (i) may call for records relating to the representation from the concerned Forum and the concerned Forum shall send the entire records within 7 days from the date of receipt of such notice to the office of the Electricity Ombudsman;
- (ii) may determine the manner, the place, the date and the time of the hearing of the matter, as considered appropriate;
- (iii) shall hear the parties and may direct the parties to submit written submissions in the matter;
- (iv) may pass interim order as deemed necessary;
- (v) shall pass a reasoned order for all his findings and award;
- (vi) shall pass an award as early as possible, preferably within three months from the date of receipt of the representation and where there is delay in disposal of a representation within the said period of three months, shall record reasons of such delay;
- (vii) shall send a copy of the order to the parties.

12.2 The Electricity Ombudsman may reject the representation at any stage if it ap pears to him that the representation is

- (i) frivolous, vexatious, mala fide;
- (ii) without any sufficient cause;
- (iii) not being pursued by the consumer with reasonable diligence.

12.3 The decision of the Electricity Ombudsman with regard to

Regulation 12.2 shall



Page: 455

be final and binding on the Consumer and the Distribution Licensee.

12.4 The Electricity Ombudsman may endeavour to promote a settlement of the representation/complaint received through conciliation or mediation. To promote such a settlement, the Electricity Ombudsman may follow such procedures as he may consider appropriate in the interest of justice and he shall not be bound by any rule of evidence or procedure.

12.5 If a representation is not settled by agreement without a period of one month from the date of its receipt or such further period as the Electricity Ombudsman may consider necessary, he may dispose of representation after affording the parties reasonable opportunity to present their case.

12.6 The order passed by the Electricity Ombudsman shall set out—

- (i) issue wise decision;
- (ii) reasons for passing the order; and
- (iii) directions, if any, to the Distribution Licensee/consumer.

12.7 A copy of the order shall be sent to the Consumer and the Distribution Licensee named in the representation.

12.8 The consumer or the Distribution Licensee, aggrieved of the decision of the Ombudsman, may approach any Court or Tribunal having jurisdiction to decide such grievance”.

21. The Regulation, 2007 have only repealed the Regulation, 2003. It has not repealed the Regulation of 2004 but there does not appear to be any conflict or inconsistency between powers and duties of the Electricity Ombudsman provided in Regulation of 2004 and the Regulation of 2007. In order to clarify Regulation 20 of the Regulations of 2007 provides that subject to provisions of these regulations the forum and the Electricity Ombudsman shall be guided by the principles of natural justice and shall have powers to regulate their own procedure not inconsistent with these rules.

22. Clause-14 provides for compliance with the order of the ‘Electricity Ombudsman’ where Distribution Licensee fails to comply with the orders of the Forum pr, as the case may be, of the ‘Electricity Ombudsman’, within 30 days of the order or within such time as may be granted, the Electricity Ombudsman may within thirty days of the date of the application of the consumer and, after

giving opportunity to the Distribution Licensee issue necessary direction to ensure compliance of the order or refer the matter to the Commission for appropriate order under section 142 of the Act and after hearing the parties or after obtaining the report from the Ombudsman.

23. The purpose of appointment of the Ombudsman is to settle those disputes and to consider the grievances, which could not be settled or decided by the Consumer Grievance Redressal Forum, or with which the consumer is not satisfied. He has powers to settle by process of mediation, conciliation or to make an award. The qualifications of the 'Electricity Ombudsman' gives him sufficient knowledge and authority to settle, mediate, conciliate the matter and in the absence of any settlement to make a reasoned award.

24. In this case the 'Electricity Ombudsman' has not given any direction contrary to Clause 3.4(a), as an exception is provided in Clause 3.4(d). The petitioner did not place any technical problem in sanctioning the connection by tapping to the respondent-consumer. Their objection was confined only to the regulation Clause 3.4(a) without looking into the exceptions and the analogy of providing other connection through the same feeder. The award has directed the sanction of connection and tapping only temporarily, till no objection certificate is given by the railways and the farmers over whose lands the electricity lines have to be drawn. The object of the temporary arrangement was to adjust equities between the petitioner and the consumer, who was a model consumer in the past was suffering a loss of Rs. 50 lacs per month.

25. There is substance in the contention of counsel for the respondent-consumer that where the 'Electricity Ombudsman' has succeeded in mediation and conciliation in persuading the parties to reach to a settlement, the proceedings would not be subject to challenge except on the ground of jurisdictional



error committed by the Electricity Ombudsman or any fraud pleaded and proved on record. In an other case the award may be challenged as an arbitral award on the grounds available under Section 34 of the Arbitration and Conciliation Act, 1996. The scope of interference with award is limited to the grounds, which may be taken under Section 34 of the Arbitration and Conciliation Act, 1996. In making these observations I have not considered the submissions, as it was not argued before me, whether the award of the Electricity Ombudsman may be challenged only under Section 34 of the Arbitration &

Conciliation Act, 1996 as statutory arbitration. The Court has only drawn the analogy from Section 34 of the Arbitration and Conciliation Act, 1996 as the principles to challenge to arbitral award should be limited to only such grounds as are available under Section 34 of the Arbitration and Conciliation Act, 1996”.

13. We reiterate the legal position explained in *Purvanchal Vidyut Vitran Nigam*, (AIR 2008 All 127 : 2008 (5) ALJ 683) (supra), and observe that where the Electricity Ombudsman has succeeded in resolving the dispute by mediation and conciliation and has reached to a settlement, the proceedings and his conclusions are not subject to challenge except on the ground of error jurisdictional committed by him; violation of principles of natural justice, violation of any express provision of the Electricity Act, 2003; Electricity Supply Code, Statutory Rules or Rate Schedule; fraud proved on record or the award being against public policy. The grounds for challenging the award of the Electricity Ombudsman are limited to the grounds such as, or which may be taken under Section 34 of the Arbitration and Conciliation Act, 1996. The Electricity Ombudsman defined under Regulation 2.1(1) means an authority appointed or designated by the Commission, under sub-section (6) of Section 42 of the Electricity Act, 2003, and the Regulations notified in that regard. He is provided to be an experienced person with graduate degree, in engineering and minimum of 20 years experience in public/private electricity utility of which 10 years should be in distribution, with preference for exposure to regulatory affairs. The powers vested in him provided facilitation for satisfactory settlement by agreement through conciliation and mediation between the licensee and aggrieved parties or by passing an award in accordance with the Electricity Act and provisions of U.P. Electricity Reforms Act, 1999, Rules and Regulations made thereunder.

14. In the present case, the award given by the Electricity Ombudsman, has same flavour as of an award by an Arbitral Tribunal and can be challenged on limited grounds, such as provided under Section 34 of the Arbitration and Conciliation Act, 1996.

15. We do not find that grounds taken to challenge the award of electricity Ombudsman, fall under any of the conditions akin to and provided under Section 34 of the Arbitration and Conciliation Act, 1996. There is no challenge to the capacity, opportunity of hearing or exclusions of the dispute to be considered by the Electricity Ombudsman.

16. The petitioner has also not challenged the award on the ground of competency of the Electricity Ombudsman. It is also not opposed to any public policy.

17. The writ petition is dismissed.

18. *Petition dismissed.*

Disclaimer: While every effort is made to avoid any mistake or omission, this casenote/ headnote/ judgment/ act/ rule/ regulation/ circular/ notification is being circulated on the condition and understanding that the publisher would not be liable in any manner by reason of any mistake or omission or for any action taken or omitted to be taken or advice rendered or accepted on the basis of this casenote/ headnote/ judgment/ act/ rule/ regulation/ circular/ notification. All disputes will be subject exclusively to jurisdiction of courts, tribunals and forums at Lucknow only. The authenticity of this text must be verified from the original source.